

Business Law

Lecture 7

Warranty rights I

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Warranty rights I

AGENDA

WARRANTY RIGHTS OF THE PURCHASE AGREEMENT

- DEFECT
- TRANSFER OF RISK
- EXCLUSION
- LEGAL REMEDIES
 - Cure
 - Revocation
 - Reduction

§ 433 BGB

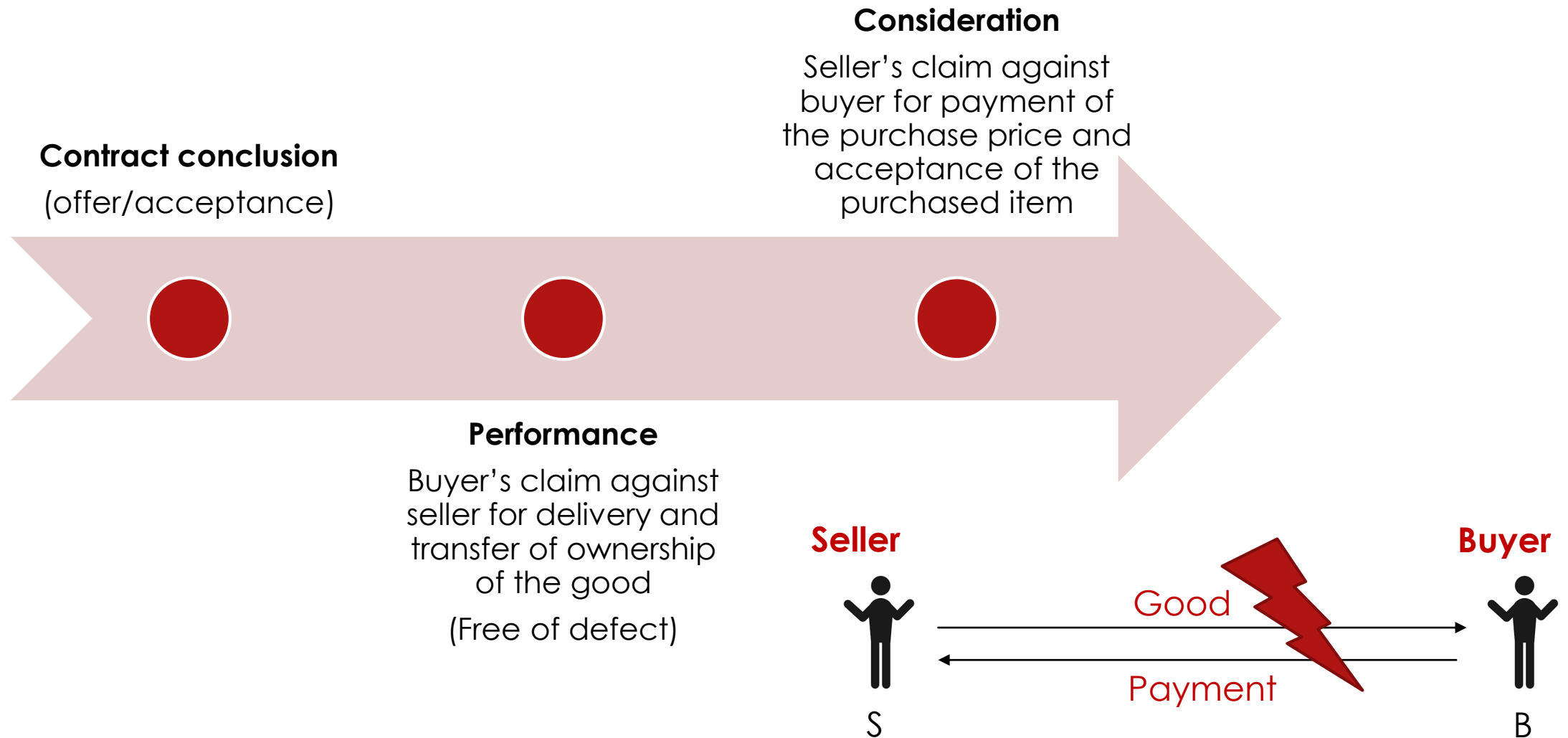
Typical contractual duties in a purchase agreement

(1) By a purchase agreement, the **seller** of a thing is obliged to deliver the thing to the buyer and to procure ownership of the thing for the buyer. The seller must procure the thing for the buyer free from material and legal defects.

(2) The **buyer** is obliged to pay the seller the agreed purchase price and to accept delivery of the thing purchased.

Warranty rights - Overview

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Warranty rights - Overview

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Buyer's breach of duty		Seller's breach of duty	
No payment , § 433 II BGB	No acceptance of delivery, § 433 II 2. alt. BGB	No delivery of goods, § 433 I 1 BGB	Defective good, § 433 I 1 BGB
General rights acc. to §§ 280 et seq., 320 et seq. BGB (damages and revocation)		General rights acc. to §§ 280 et seq., 320 et seq. BGB	Warranty rights acc. to §§ 434 – 445 BGB

- Warranty law regulates defective performance
- Legal remedies, § 437 Nr. 1 – 3 BGB (referral provision)
 - Cure
 - Revocation
 - Reduction
 - Damages
 - Reimbursement of futile expenses

Warranty rights – Structure for solving cases

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1. Valid purchase agreement, § 433 BGB



2. Defect of the good at transfer of risk, § 434 et seq. BGB:

Non-conformity with
Subjective requirements (II)

Non-conformity with
Assembly requirements (IV)

or

Non-conformity with
Objective requirements (III)

Supply of different thing (V)



3. No exclusion



4. Legal remedies, § 437 BGB

(Chance to) cure then revocation, reduction, damages, reimbursement

Warranty rights – Defect

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- **Material defects and legal defects, §§ 434, 435 BGB**
 - Mostly identical legal consequences, §§ 434 – 437 BGB
 - Legal defect: Third parties have rights regarding the sold good, § 435 BGB (e.g. sold real property is subject to rent to another party)
 - Material defect: § 434 BGB
 - Non-conformity with subjective requirements (II) **or**
 - Non-conformity with objective requirements (III) **or**
 - Non-conformity with assembly requirements (IV) **or**
 - Supply of different thing (V)
 - Decisive point for material defects: transfer of risk

Warranty rights – Defect

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- § 434 BGB uses complex structure and negative definition of defect
- Defect = „Deviation of the good's actual condition from the condition it should have“
- Condition
 - Specified by § 434 II 2; usual condition in § 434 III 2 BGB
 - Includes:
 - Physical properties (quality characteristics, natural properties)
 - ▶ Intactness, freshness, energy consumption, colour, material, condition (used/new)
 - Relationship of the good to the environment, economic or legal references
 - ▶ Manufacturer's warranty was promised but isn't applicable
- Intensity of deviation is irrelevant

Warranty rights – Defect

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Material defect (I)

Defect according to II - V

+

Upon the passing of the risk

Non-conformity with
Subjective requirements (II)

or

Non-conformity with
Objective requirements (III)

or

Non-conformity with
Assembly requirements (IV)

Agreed quality
(§ 434 II 1 No. 1 BGB)

Customary use
(§ 434 III 1 No. 1 BGB)

Carried out properly?
(§ 434 IV 1 No. 1 BGB)

Intended use under the contract
(§ 434 II 1 No. 2 BGB)

Usual quality in things of the same kind
(§ 434 III 1 No. 2 BGB)

Carried out improperly,
but not due to improper installation
by seller or defective instructions?
→ conformity given
(§ 434 IV 1 No. 2 BGB)

Supplied with agreed accessories
and agreed instructions?
(§ 434 II 1 No. 3 BGB)

Quality of sample or specimen
(§ 434 III 1 No. 3 BGB)

Accessories and instructions
(§ 434 III 1 No. 4 BGB)

or

Supply of different thing (V)

I. Subjective requirements (II)

- **Agreed quality**, § 434 II 1 Nr. 1 BGB
 - (Tacit) contractual agreement
 - Example: Purchase contract for a “new car” implies:
 - No (micro) scratches
 - Model is still built unchanged at the time of contract conclusion
 - Car wasn’t unused on the dealer’s lot for more than 12 months

- **Intended use under the contract, § 434 II 1 Nr. 2 BGB**
 - No specific condition is agreed upon
 - Parties only think of the good being fit for the intended use under the contract:
 - Use in specific legal or climatic conditions
 - E.g. buying a replacement battery for your laptop in a shop
 - Esp. relevant for atypical uses seller knows about

- **Supplied with agreed accessories and instructions, § 434 II 1 Nr. 3 BGB**

II. Objective requirements (III)

- **Customary use**, § 434 III 1 Nr. 1 BGB
- **Usual quality in things of the same kind**, § 434 III 1 Nr. 2 BGB
 - Usualness and expectation
 - Condition usual in goods of the same type (comparison group)
 - Expectations of the average buyer (legitimate expectations)
 - Fueled by public statements of seller or supply chain party
- **Quality of sample or specimen**, § 434 III 1 Nr. 3 BGB
- **Accessories and instructions**, § 434 III 1 Nr. 4 BGB

III. Assembly requirements (IV)

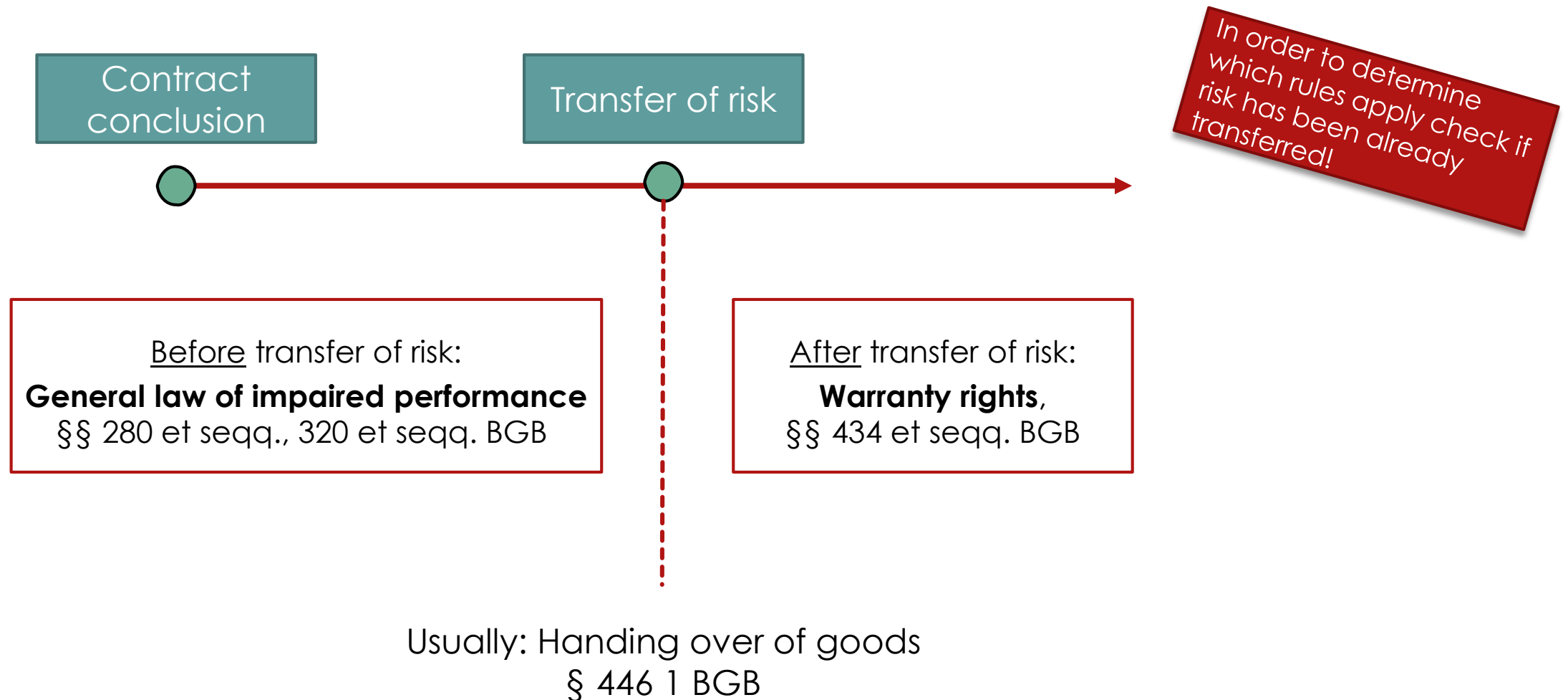
- No need to discuss if no assembly is owed
- Fulfilled if correct assembly or not seller's fault

IV. Aliud delivery (V)

- § 434 V BGB: Different thing = defect

Warranty rights – Transfer of risk

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§ 446 BGB

Passing of risk and of charges

The risk of accidental destruction and accidental deterioration passes to the buyer upon delivery of the thing sold. [...]

 After transfer of risk the buyer needs to pay the purchase price even if the item is destroyed (price risk).

Warranty rights – Contractual exclusion

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- Individual agreement or standard business terms
- Restrictions:
 - § 444 BGB: Generally when seller concealed defect or gave a guarantee of quality
 - § 309 Nr. 8 BGB: restrictions on exclusion of warranty rights on newly produced goods
 - Exclusion of agreed condition isn't possible, § 242 BGB (venire contra factum proprium)
 - B2C: § 476 BGB grants only few limitations to warranty rights

- Definition in § 474 I BGB:
 - Sales contract in which trader sells good to a consumer

- §§ 474 – 479 BGB modify general rules:
 - Greater protection for consumer, i. a.:
 - Shifting of burden of proof, § 477 BGB
 - Mostly prohibited to deviate from §§ 434 et seq. BGB before defect is notified of, § 476 BGB
 - Seller has easier possibility to recourse from his supplier

Warranty rights – Statutory exclusion

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- § 442 BGB: Buyer knew the defect when concluding the contract or didn't know the defect due to gross negligence

- § 377 HGB: Special statutory exclusion for commercial transactions due to inspection and notification duty
 - Facilitation of faster, simpler and smoother transactions
 - Early definitive end of transactions
 - Quicker legal certainty
 - Facilitation of evidence

Warranty rights – Exclusion due to limitation

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- Limitation (time-barring) by § 438 BGB
- Different limitation periods depending on type of defect and purchased good
- Movable thing with material defect:
2 years, § 438 I Nr. 3 BGB
- Buildings: 5 years, § 438 I Nr. 2 BGB

§ 437

Rights of buyer in the case of defects

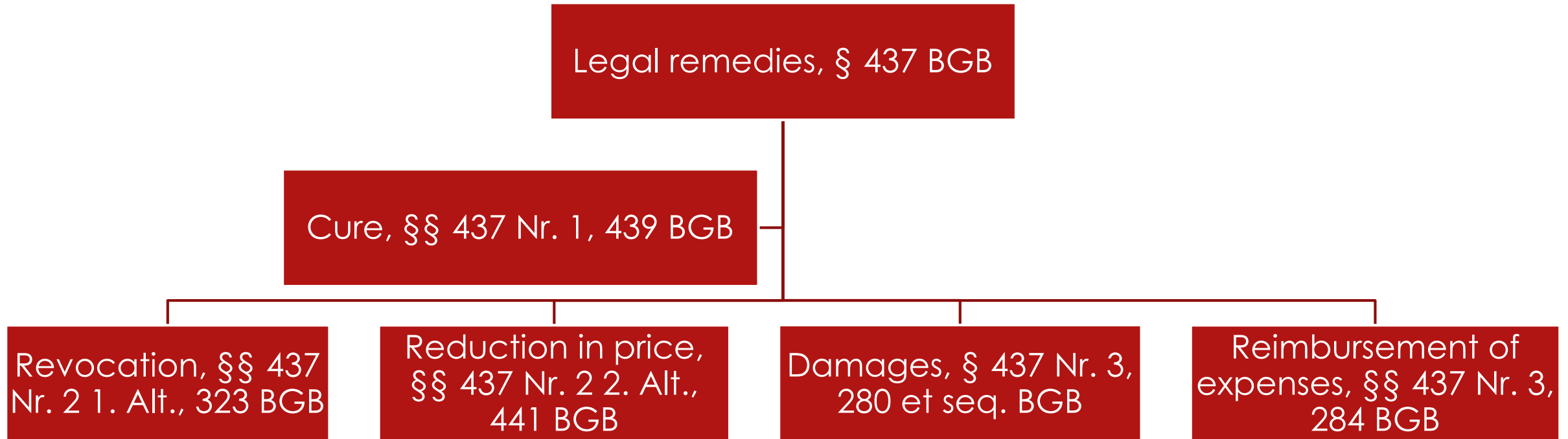
If the thing is defective, the buyer may, provided the requirements of the following provisions are met and unless otherwise specified,

1. under § 439, demand cure,
2. revoke the agreement under § 440, 323 and 326 V or reduce the purchase price under § 441, and
3. under §§ 440, 280, 281, 283 and 311a, demand damages, or under § 284, demand reimbursement of futile expenditure.

Warranty rights – Legal remedies

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- Warranty rights of § 437 BGB are in a tiered relationship



- Second chance: additional period for cure
- Exhaustive list, esp. no right for self-help at the expense of seller

- **= Primary legal remedy**
- Requirement to set an additional period for cure before claiming certain damages (§ 281 BGB) or revoking (§ 323 BGB)
 - Defective delivery does not immediately give the buyer the opportunity to revoke the contract or to claim damages
 - Dual purpose of cure:
 - Fulfilment of the interests of the buyer
 - Interest of the seller in averting economic disadvantages in case of revocation of the contract or claims for damages
 - ▶ Seller receives second chance or even third (see § 440 2 BGB)

- Modification of the original claim for performance
 - Original claim is modified at the time of acceptance of the defective item
- § 439 I BGB: Buyer decides between
 - Re-delivery and rectification by rework
- Seller: limited right of refusal with regard to the choice of the buyer, § 439 IV BGB (apart from § 275 BGB)
 - Cure (re-delivery or rectification) is possible only at disproportionate expense
 - Disproportionate expense: value of the thing free of defects, importance of defect, alternative kind of cure possible without disadvantages?
 - Relative vs. absolute disproportion (cure cannot be expected of the seller)

- Seller bears all costs of cure, § 439 II BGB
 - Even costs of removing the defective item when it was installed into another thing, § 439 III BGB

- Seller delivers new thing as cure
 - Claim for restitution of defective thing, § 439 V BGB
 - Restitution acc. to § 346 et seq. BGB

- Successful cure extinguishes modified claim for performance

Warranty rights – Revocation

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- §§ 437 Nr. 2, 323 BGB
- Secondary warranty right
 - Generally: period for cure
 - Last chance for seller
- § 437 Nr. 2 BGB = referral provision
- § 323 I 2. Alt. BGB = performance not in conformity with contract

➡ Revise the slides concerning possibilities of contract termination!

- Vendor refuses to carry out both kinds of cure under § 439 IV BGB
- § 440 BGB: further exceptions from additional period requirement
 - Cure failed, § 440 1 2. Alt. BGB
 - Fiction of failed cure after second failed attempt, generally
 - More chances: technical complexity, defect objectively hard to cure
 - Cure can not be reasonably expected of the buyer, § 440 1 3. Alt. BGB
 - Cure takes up more time than the buyer can be reasonably expected
 - Cure leads to grave disadvantages for buyer (e.g. High pollution by dirt, noise; injury due to defect)

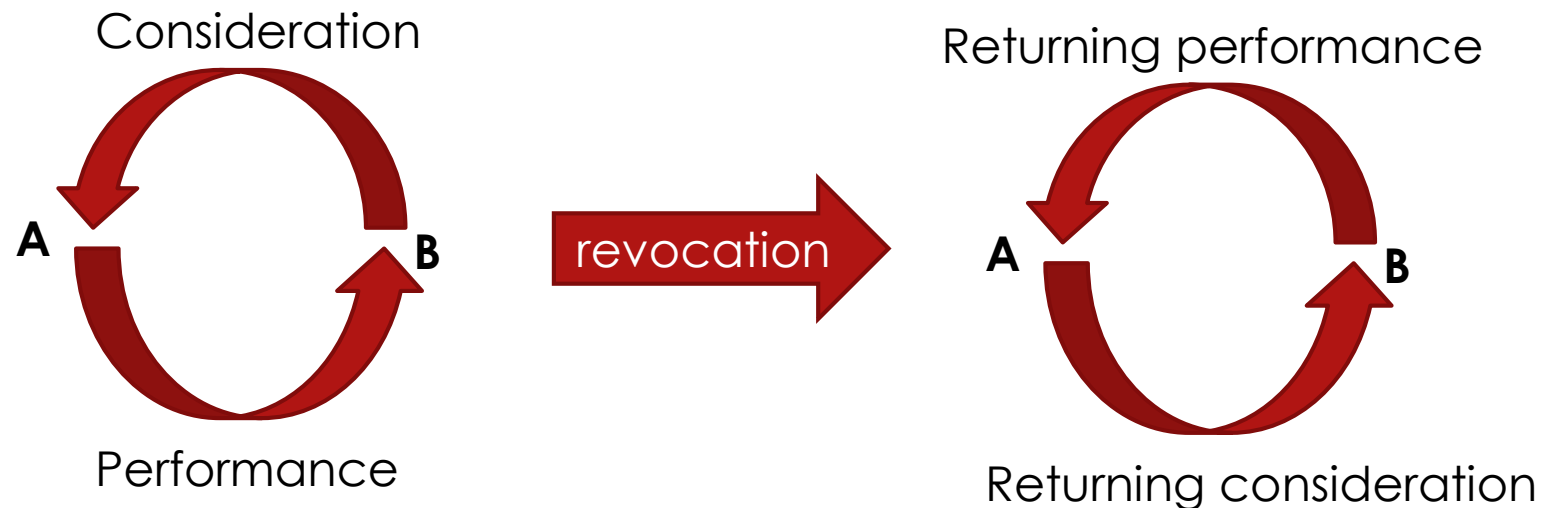
- Revocation might be excluded:
 - Insignificance of defect, §§ 437 Nr. 2, 1. Alt., 323 V BGB
 - Quantity or quality (1 or 2)
 - Considering all circumstances, esp.: use and generally accepted standards, ratio of cost of cure to purchase price
 - No insignificance if seller fraudulently concealed defect
 - Buyer is responsible for defect, §§ 437 Nr. 2, 1. Alt. 323 VI 1. Alt. BGB
 - Sole or predominant responsibility
 - Buyer's default of acceptance, §§ 437 Nr. 2, 1. Alt. 323 VI 2. Alt. BGB

Warranty rights – Revocation

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■ Effects:

- §§ 346 – 348 BGB
- Other warranty rights:
 - Claim for damages and reimbursement of expenses remains, generally
 - Claim for cure and right to reduction are extinguished



§ 441 I BGB

Reduction of price

(1) **Instead of revoking** the agreement, the buyer may, by **declaration** to the seller, **reduce the purchase price**. The ground for exclusion under § 323 V 2 does not apply.

Warranty rights – Reduction

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- "Instead of revoking" = same requirements ≈ same exclusions
- Special right to alter the purchase contract, §§ 437 Nr. 2, 441 I BGB
- Formula in § 441 III BGB: x = reduced price

$$X = \frac{\text{value with defect} \times \text{agreed price}}{\text{value without defect}}$$

- Before payment: objection of reduction (refusal right)
- After payment: restitution of overpayment, §§ 441 IV, 346 et seq. BGB

When are warranty rights applicable?

What kinds of defect are there?

May warranty rights be excluded? If so, how?

What is the relationship between cure, revocation and reduction?